

L'Oréal SA

Beauty and the Beat

Beauty is one of the few Staples categories accelerating, and L'Oréal is widening the gap. H1 gave us more confidence in the group's ability to grow ahead of the market, fund higher A&P and still protect the margin algorithm. We raise FY26e OSG to 6.0% (from 5.5%). PT to €460 (from €450). OW.

L'Oréal's H1 update reinforces our view that this is one of the rare global Staples stories where the category backdrop is improving and the company is widening the gap versus peers. Cosmetics market growth has accelerated to c.5% in Q2 (+4.5% in H1), helped by the offer-led nature of the category, new product stimulus and the "dopamine effect" of beauty, but L'Oréal is doing more than simply riding a better market. H1 adjusted LFL growth (ex-IT phasing) of +6.5% was c.200bps ahead of the market, Q2 remained strong despite tougher comps, and management highlighted share gains across regions and categories, with particular strength in Professional Products, Dermatological Beauty, SAPMENA and Europe. This is now two very strong prints in a row, and management sounded notably confident on H2 despite tougher comps, supported by a beauty stimulus plan running at materially higher intensity than last year, e-commerce growth around double the market, China recovering in the right premium channels, and SAPMENA becoming a really powerful engine where there is a long runway of growth and market share which still lags its other regions. We update our FY26/27 forecasts to reflect strength in SAPMENA-SSA, Professional and Derma, with our PT moving to €460. OW.

We note the company and Barclays estimate numbers below are adjusted LFL, ex-IT phasing impact.

A few key points to highlight

- **The quality of growth is strong.** H1 adjusted LFL growth of +6.5% follows +3.2% in H1 2025 and +4.9% in H2 2025, with Q1 and Q2 2026 both strong at +6.7% and +6.3% respectively. Management also said growth was supported by both volume and value, with volume roughly 20-25% of growth, suggesting the acceleration is not purely pricing or mix-led.
- **The market backdrop has improved, but L'Oréal is widening the gap.** Management now sees the global beauty market growing around +4.5% in H1 2026 and expects the full-year market to grow somewhere between +4% and +5%. Importantly, the company is still outperforming by c.200bps, and management expects to continue outperforming in H2 rather than simply relying on market recovery.

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OREP,PA/OR FP	OVERWEIGHT Unchanged
European Consumer Staples	NEUTRAL Unchanged
Price Target	EUR 460.00 raised 2% from EUR 450.00
Price (30-Jul-26)	EUR 394.00
Potential Upside/Downside	+16.8%
Source: Bloomberg, Barclays Research	

Market Cap (EUR mn)	209760
Shares Outstanding (mn)	532.39
Free Float (%)	44.91
52 Wk Avg Daily Volume (mn)	0.4
Dividend Yield (%)	1.83
Return on Equity TTM (%)	19.40
Current BVPS (EUR)	63.56
Source: Bloomberg	

Price Performance	Exchange-PA
52 Week range	EUR 408.35-338.85



Source: LSEG Data & Analytics, Bloomberg
[Link to Barclays Live for interactive charting](#)

European Consumer Staples

Warren Ackerman

+44 (0)20 3134 1903
warren.ackerman@barclays.com
Barclays, UK

Alex Sloane

+44 (0)20 3555 0645
alexander.sloane@barclays.com
Barclays, UK

Laurence Whyatt

+44 (0)20 7773 5324
laurence.whyatt@barclays.com
Barclays, UK

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- **The China recovery is becoming more interesting again for the portfolio.** Management said the China market has stabilised around c.+2%, but the mix has shifted back towards premium, with luxury and dermatological beauty markets closer to +7%. This is where L'Oréal is structurally strongest: Luxe China grew +10% in H1, 6.18 was estimated to be up c.+10% for the market, and L'Oréal slightly beat that growth while retaining leading positions across key beauty universes.
- **SAPMENA is moving from “nice to have” to a more material growth leg.** SAPMENA-SSA grew +13.8% in H1, with Vietnam up over +50% and India up +17%. Management framed the region as a strategic growth priority, with lower-than-group market share, strong e-commerce momentum, and a portfolio skewed towards mass and dermatological beauty, where affordability and recruitment are key.
- **Margin delivery remains disciplined despite higher reinvestment.** A&P rose 70bps to 32.6% of sales, funded by 70bps of SG&A leverage and supported by a gross margin of 74.8%, up 10bps. Management reiterated that the group can improve margins by around 20-30bps in a normal year, while flexing A&P up when new launches and brand momentum justify the investment.

By Geography

Europe

Europe remains a high-quality growth market. H1 adjusted LFL growth was +6.1%, with management highlighting broad-based growth across countries and divisions, despite L'Oréal already having a market share above 20% in the region. Management attributed the sustained outperformance to category mix, especially haircare and fragrance, e-commerce acceleration led by platforms such as Amazon, and a structural reorganisation of European clusters which has lowered SG&A and freed up resources to reinvest behind brands.

We raise our Europe forecast to +5.3% OSG for FY26e (from +4.1% previously), reflecting updates to our forecasting and H1 actuals. The MSD region appears more sustainable than previously assumed, with ongoing support from haircare, fragrance, e-commerce and organisational simplification.

North America

North America was a standout. H1 adjusted LFL growth was +6.7%, and management said the US beauty market was growing around mid-single digits through Q2, despite some external commentary suggesting a softer backdrop. Importantly, L'Oréal said it was gaining share across all four divisions in the US, **with sell-out around +7%**. CPD was called out as particularly strong, driven by haircare, while Professional Products and Dermatological Beauty also remained strong contributors.

We raise our North America forecast to +5.7% OSG for FY26e (from +5.3% previously). The main driver is stronger underlying sell-out and better evidence that US acceleration is not limited to one division. We would still avoid extrapolating a step-change in the market, as management framed H2 market growth more as a continuation of Q2 than a further acceleration.

North Asia

North Asia was the clearest sign that the group's regional mix is becoming less of a headwind. H1 adjusted LFL growth was +4.6%, with **China up +10% on a like-for-like basis** and North Asia +6.1% excluding travel retail. Management's comments were constructive because the recovery is happening in the channels and price tiers that matter most to L'Oréal: mass beauty in China is

slightly negative, but luxury and dermatological beauty are closer to +7%, and Luxe China grew +10% in H1. The company also expects travel retail Asia to normalise over H2, particularly in Q4.

We lower our North Asia forecast to +4.3% OSG for FY26e (from +5.2% previously). We are not assuming a broad-based China consumer recovery, but are giving more credit to L'Oréal's premium exposure, brand strength in Luxe and Derma, and the potential for easier travel retail comps into Q4. The risk remains that Chinese confidence is still uneven, but the current mix of growth is structurally more supportive for L'Oréal than it was a year ago.

SAPMENA-SSA

SAPMENA-SSA remains the highest-growth geography, with +13.8% adjusted LFL growth in H1 and broad-based strength across categories and divisions. Management highlighted Vietnam at over +50% and India at +17%, and described the region as a strategic priority given lower market share versus the group average. India is particularly interesting: management said L'Oréal is expanding CeraVe across more cities, has adapted textures for the Indian climate, and sees Innovist as both a skincare/haircare portfolio addition and a learning platform for Indian e-commerce.

We raise SAPMENA-SSA to +13.5% OSG for FY26e (from +11.2% previously). The forecast change reflects stronger growth in India and South-East Asia, continued e-commerce momentum, and further portfolio expansion in dermo-cosmetics and mass beauty. We do not assume SAPMENA can grow at mid-teens indefinitely, but the structural runway looks longer than for most developed regions.

Latin America

Latin America was the weakest relative geography, with +5.2% adjusted LFL growth in H1, below the pace of 2025 but showing early signs of stabilisation. Management called out a more challenging context, but still described the region as stabilising rather than deteriorating further. Latin America had been a strong growth contributor previously, and the step-down is now more visible in the group mix.

We lower Latin America to +6.1% OSG for FY26e (from +6.6% previously). We take a more measured view here, assuming stabilisation with some growth rather than a sharp rebound. The region should still benefit from beauty recruitment and trading up over time, but near-term momentum is less compelling than SAPMENA, North America or North Asia.

By category

The category mix was broadly supportive, with the fastest growth coming from categories where L'Oréal has clear scale advantages. Haircare grew +15.6% in H1 and was strong across divisions, supported by both premium haircare and mass launches. Fragrance grew +10.3%, with management saying L'Oréal is growing at around twice the market speed and has further launches coming in H2. Skincare grew +5.8% and management described it as improving, led by Dermatological Beauty and a recovery in Luxe skincare in China. CeraVe was called out as growing mid-teens, La Roche-Posay was “not far” behind, Medik8 was growing close to +50%, and Dr.G will be rolled out more ambitiously into China and the US. Makeup remained positive but less dynamic at +2.5%, while hair colour grew +3.5%.

Bottom line

The drivers of the LOR acceleration look more repeatable than previously assumed: the beauty market has improved, but L'Oréal is outperforming it. China is recovering in premium channels; SAPMENA is becoming a more meaningful growth leg; skincare is improving; and SG&A savings are funding a higher A&P load without derailing margin expansion. The stock will still need

confidence that H2 can absorb tougher comps, but H1 results gave more reasons to believe the algorithm is intact. OW.

Forecast changes

We now look for FY26e group OSG of +6.0% (vs +5.5% previously). We also make updates to our Q3 OSG forecast and now expect +5.3% OSG (vs +5.1% previously). By division for FY26e, we look for Professional Products OSG of +10.4% (vs +8.1% previously), Consumer Products OSG of +4.1% (from +3.4% previously), Luxe OSG of +5.0% (from +6.0%), and Dermatological Beauty OSG of +9.2% (from +7.5% previously). We keep our operating profit margin expectations the same for FY at 20.3% but make some adjustments to the sub categories. At the P&L level, we now forecast FY26e EPS of €13.81 (from €13.63 previously). Our new PT is €460, and we remain Overweight.

FIGURE 1. Quarterly estimate changes (adj.LFL)

	Change in quarterly estimates (Adj. LFL)											
	1Q26	2Q26e	3Q26e			4Q26e			FY26e			
	Actual	Actual	Old	New	Change	Old	New	Change	Old	New	Change	
By Category												
Professional	13.1%	10.1%	5.8%	9.5%	370 bps	6.7%	9.0%	230 bps	8.1%	10.4%	227 bps	
Consumer	4.1%	4.6%	3.5%	3.5%	0 bps	2.5%	4.0%	150 bps	3.4%	4.1%	74 bps	
Luxury	5.6%	4.7%	5.6%	3.7%	-190 bps	6.6%	6.0%	-60 bps	6.0%	5.0%	-96 bps	
Dermatological Beauty	10.2%	11.1%	7.0%	10.0%	300 bps	3.0%	5.0%	200 bps	7.5%	9.2%	167 bps	
By Geography												
Europe	5.5%	6.7%	3.8%	4.5%	70 bps	2.7%	4.0%	130 bps	4.1%	5.3%	123 bps	
North America	7.6%	5.9%	4.7%	4.2%	-50 bps	4.0%	5.0%	100 bps	5.3%	5.7%	40 bps	
North Asia	4.8%	4.5%	6.1%	4.7%	-139 bps	5.3%	4.2%	-106 bps	5.2%	4.3%	-90 bps	
SAPMENA – SSA	15.4%	12.2%	12.0%	12.4%	40 bps	8.5%	13.5%	500 bps	11.2%	13.5%	236 bps	
Latin America	5.1%	5.3%	6.5%	5.5%	-100 bps	8.5%	8.5%	0 bps	6.6%	6.1%	-54 bps	
Group OSG	6.7%	6.3%	5.1%	5.3%	21 bps	4.6%	5.5%	90 bps	5.5%	6.0%	49 bps	
Operating margin by Category												
Professional									23.0%	23.0%	0 bps	
Consumer									21.5%	21.5%	0 bps	
Luxury									22.5%	22.4%	-10 bps	
Dermatological Beauty									26.2%	26.3%	5 bps	
Group									20.3%	20.3%	-2 bps	

Source: Company data, Barclays Research estimates

FIGURE 2. Estimate changes

Change in Estimates										
	2025A		2026E		2027E			2028E		
	Actual	Old	New	Change	Old	New	Change	Old	New	Change
Sales (€, mn)	44,052	46,216	46,996	1.7%	49,091	50,289	2.4%	52,044	53,565	2.9%
Organic Sales Growth	4.0%	5.5%	6.0%	49 bps	5.7%	5.7%	0 bps	6.0%	6.0%	0 bps
Professional	7.4%	8.1%	10.4%	227 bps	6.5%	6.5%	0 bps	6.5%	6.5%	0 bps
Consumer	3.5%	3.4%	4.1%	74 bps	4.5%	4.5%	0 bps	4.5%	4.5%	0 bps
Luxury	2.8%	6.0%	5.0%	-96 bps	6.2%	6.2%	0 bps	7.0%	7.0%	0 bps
Dermatological Beauty	5.5%	7.5%	9.2%	167 bps	6.7%	6.7%	0 bps	6.7%	6.7%	0 bps
Operating Profit (€, mn)	8,892	9,383	9,532	1.6%	10,036	10,273	2.4%	10,713	11,021	2.9%
Op. Profit Margin	20.2%	20.3%	20.3%	-2 bps	20.4%	20.4%	-1 bps	20.6%	20.6%	-1 bps
Professional	22.9%	23.0%	23.0%	0 bps	23.1%	23.1%	0 bps	23.2%	23.2%	0 bps
Consumer	21.4%	21.5%	21.5%	0 bps	21.6%	21.6%	0 bps	21.7%	21.7%	0 bps
Luxury	22.4%	22.5%	22.4%	-10 bps	22.6%	22.5%	-10 bps	22.8%	22.7%	-10 bps
Dermatological Beauty	26.1%	26.2%	26.3%	5 bps	26.3%	26.4%	10 bps	26.4%	26.6%	15 bps
EPS (€)	12.71	13.63	13.81	1.3%	14.58	14.92	2.3%	15.71	16.14	2.7%
DPS (€)	7.20	8.00	8.00	0.0%	8.90	8.90	0.0%	9.70	9.70	0.0%
Cash flow and Balance Sheet										
Net debt/ (cash)	2,051	8,018	8,655	7.9%	6,179	6,898	11.6%	4,329	5,074	17.2%
Operating CF	11,068	11,298	11,038	-2.3%	11,804	12,021	1.8%	12,504	12,812	2.5%
Capex	1,495	1,618	1,645	1.7%	1,718	1,760	2.4%	1,822	1,875	2.9%

Source: Company data, Barclays Research estimates

FIGURE 3. Quarterly adjusted LFL by Geography and Category

Adjusted LFL growth (%)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26e	4Q26e	FY26e
Europe	3.8%	3.8%	4.3%	5.6%	5.5%	6.7%	4.5%	4.0%	5.3%
North America	0.5%	3.3%	5.1%	4.5%	7.6%	5.9%	4.2%	5.0%	5.7%
North Asia	-1.6%	0.7%	3.3%	0.6%	4.8%	4.5%	4.7%	4.2%	4.3%
SAPMENA – SSA	7.6%	13.7%	11.9%	10.9%	15.4%	12.2%	12.4%	13.5%	13.5%
Latin America	7.9%	10.0%	10.0%	4.7%	5.1%	5.3%	5.5%	8.5%	6.1%
Total Group	2.2%	4.2%	5.5%	4.4%	6.7%	6.3%	5.3%	5.5%	6.0%
Professional	6.0%	8.4%	8.5%	7.3%	13.1%	10.1%	9.5%	9.0%	10.4%
Consumer	1.0%	3.6%	5.7%	4.1%	4.1%	4.6%	3.5%	4.0%	4.1%
Luxury	2.6%	2.5%	4.6%	1.7%	5.6%	4.7%	3.7%	6.0%	5.0%
Dermatological Beauty	1.6%	6.1%	4.9%	10.1%	10.2%	11.1%	10.0%	5.0%	9.2%
Total Group	2.2%	4.2%	5.5%	4.4%	6.7%	6.3%	5.3%	5.5%	6.0%

Source: Company Data, Barclays Research estimates

OREP.PA: Financial and Valuation Metrics EPS (EUR)

FY Dec	2024	2025	2026	2027	2028
EPS	12.66A	12.71A	13.81E	14.92E	16.14E
Previous EPS	12.66A	12.71A	13.63E	14.58E	15.71E
Consensus EPS	12.66A	12.71A	13.72E	14.92E	16.09E
P/E	31.1	31.0	28.5	26.4	24.4

Consensus numbers are from Bloomberg received on 30-Jul-2026; 12:50 GMT
Source: Barclays Research

European Consumer Staples

NEUTRAL

L'Oréal SA (OREP.PA)

OVERWEIGHT

Income statement (€mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	44,052	46,996	50,289	53,565	6.7%
EBITDA (adj)	10,709	11,457	12,195	12,994	6.7%
EBIT (adj)	8,892	9,532	10,273	11,021	7.4%
Pre-tax income (adj)	9,002	9,722	10,470	11,295	7.9%
Net income (adj)	6,807	7,370	7,937	8,562	8.0%
EPS (adj) (€)	12.71	13.81	14.92	16.14	8.3%
Diluted shares (mn)	535.4	533.6	532.0	530.5	-0.3%
DPS (€)	7.20	8.00	8.90	9.70	10.4%
Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	24.3	24.4	24.3	24.3	24.3
EBIT (adj) margin (%)	20.2	20.3	20.4	20.6	20.4
Pre-tax (adj) margin (%)	20.4	20.7	20.8	21.1	20.8
Net (adj) margin (%)	15.5	15.7	15.8	16.0	15.7
ROA (%)	11.9	11.7	12.2	12.5	12.1
ROE (%)	20.5	21.1	21.8	22.2	21.4
ROCE (%)	15.3	15.3	15.8	16.3	15.7
Cash flow and balance sheet (€mn)	2025A	2026E	2027E	2028E	CAGR
Cash flow from operations	11,068	11,038	12,021	12,812	5.0%
Cash flow from investing	-3,922	-9,645	-1,760	-1,875	N/A
Cash flow from financing	-4,419	-5,024	-5,456	-5,942	N/A
Capital expenditure	-1,495	-1,645	-1,760	-1,875	N/A
Equity free cash flow	7,325	7,020	7,813	8,366	4.5%
Tangible fixed assets	4,212	4,163	4,249	4,415	1.6%
Intangible fixed assets	19,542	27,542	27,542	27,542	12.1%
Cash and equivalents	9,865	3,261	5,018	6,842	-11.5%
Total assets	61,821	63,915	66,454	69,149	3.8%
Short and long-term debt	10,119	10,119	10,119	10,119	0.0%
Total liabilities	26,817	27,379	27,800	28,238	1.7%
Shareholders' equity	34,953	36,484	38,599	40,853	5.3%
Net debt/(funds)	2,051	8,655	6,898	5,074	35.2%
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	31.0	28.5	26.4	24.4	27.6
EV/sales (x)	4.9	4.8	4.4	4.1	4.6
EV/EBITDA (adj) (x)	20.3	19.5	18.2	16.9	18.7
EV/EBIT (adj) (x)	24.4	23.5	21.6	20.0	22.4
Equity FCF yield (%)	3.5	3.3	3.7	4.0	3.6
P/BV (x)	6.0	5.8	5.4	5.1	5.6
Dividend yield (%)	1.8	2.0	2.3	2.5	2.1
Net debt/EBITDA (adj) (x)	0.2	0.8	0.6	0.4	0.5
Selected operating metrics	2025A	2026E	2027E	2028E	Average
Organic sales growth (%)	4.0	6.0	5.7	6.0	5.4
Tax rate (%)	24	24	24	24	24
Capex/sales (%)	3.4	3.5	3.5	3.5	3.5

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (30-Jul-2026) **EUR 394.00**
 Price Target **EUR 460.00**

Why OVERWEIGHT?

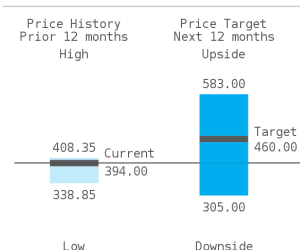
L'Oréal has an impressive track record of gaining market share across all categories and regions. We expect global beauty market growth to accelerate by 100bps in 2026. We see significant white space opportunities for L'Oréal which should help continue its outperformance. L'Oréal also has strong M&A capabilities with proven record of scaling brands.

Upside case **EUR 583.00**

A strong China, Latam and US rebound with L'Oréal continuing to gain share in dermocosmetics, cosmetics market bounces back, growth in EMs ex-China is sustained, and European growth moderation is muted.

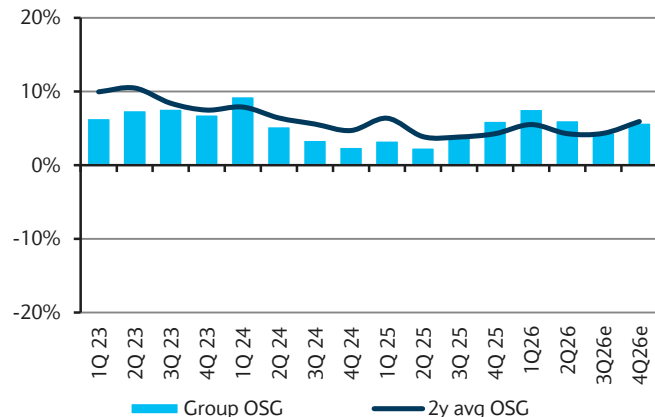
Downside case **EUR 305.00**

The structural pressure in the US market begins to show across categories and the cost to compete continues to rise. China sees a strong shift towards local brands and players as the cyclical macro concerns persist with consumers being more value focused while EM fails to offset.

Upside/Downside scenarios

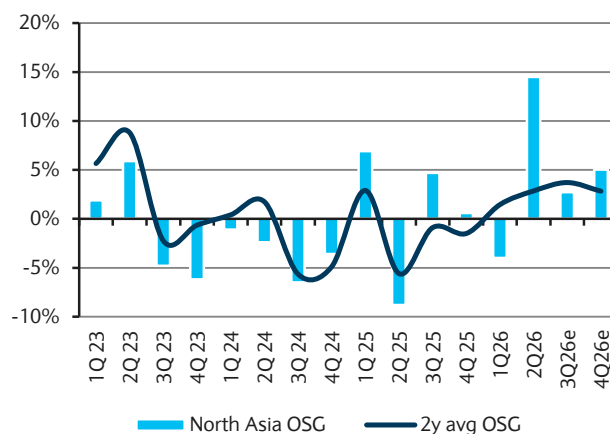
Key charts

FIGURE 4. Group OSG forecasts



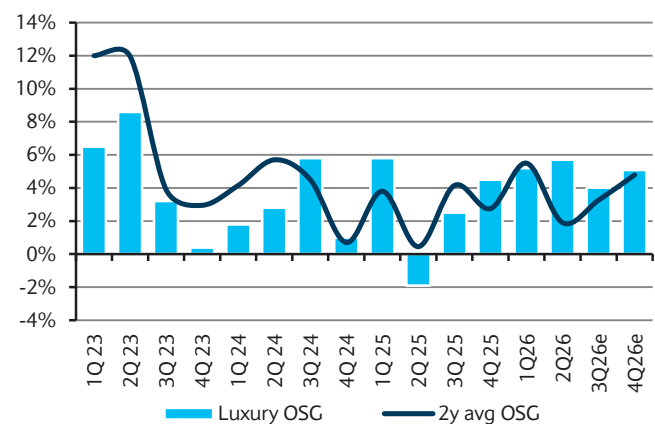
Source: Company data, Barclays Research estimates

FIGURE 5. North Asia OSG forecasts



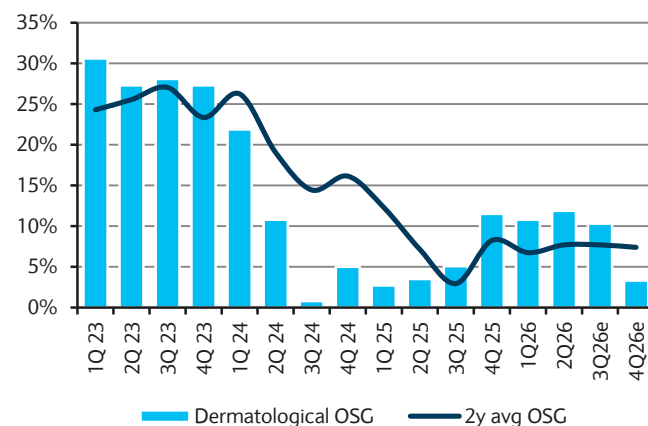
Source: Company data, Barclays Research estimates

FIGURE 6. Luxury OSG forecast



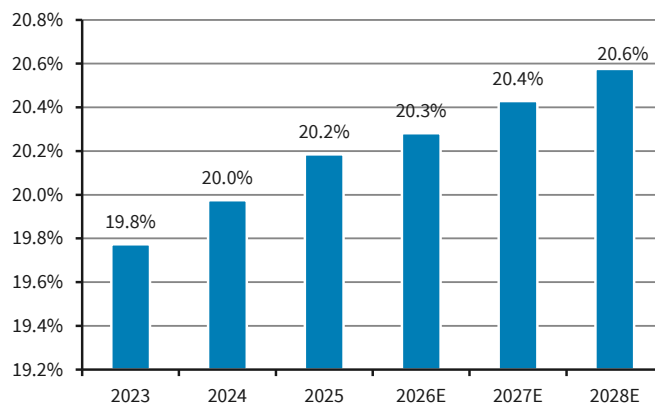
Source: Company data, Barclays Research estimates

FIGURE 7. Dermatological OSG forecasts



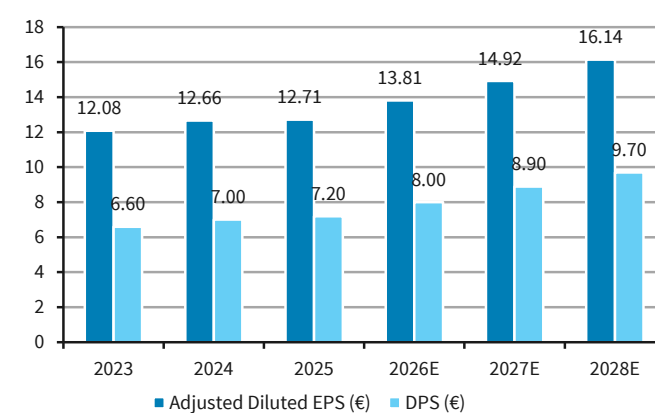
Source: Company data, Barclays Research estimates

FIGURE 8. EBIT margin forecasts



Source: Company data, Barclays Research estimates

FIGURE 9. EPS and DPS forecasts



Source: Company data, Barclays Research estimates

Key Financials

FIGURE 10. Quarterly sales forecasts by product

Year to December, EURm	1Q 24	2Q 24	3Q 24	4Q 24	1Q 25	2Q 25	3Q 25	4Q 25	1Q26	2Q26	3Q26e	4Q26e
Group sales	11,245	10,876	10,285	11,081	11,735	10,739	10,334	11,245	12,152	11,624	11,075	12,145
Organic revenue growth, %	9.4%	5.3%	3.4%	2.5%	3.4%	2.4%	4.2%	6.0%	7.6%	6.0%	4.5%	5.8%
Professional sales	1,243	1,183	1,163	1,297	1,277	1,269	1,233	1,384	1,462	1,459	1,346	1,526
Organic revenue growth, %	10.7%	0.9%	6.1%	3.8%	1.6%	11.5%	9.3%	7.6%	15.5%	9.8%	7.4%	9.0%
Consumer sales	4,173	4,149	3,748	3,912	4,279	4,134	3,763	3,913	4,368	4,274	3,883	4,221
Organic revenue growth, %	11.1%	6.7%	1.4%	2.7%	2.3%	3.3%	3.8%	4.8%	5.8%	2.4%	1.5%	6.5%
Luxury sales	3,813	3,766	3,775	4,238	4,093	3,565	3,720	4,218	4,107	3,890	4,034	4,587
Organic revenue growth, %	1.8%	2.8%	5.8%	1.0%	5.8%	-1.9%	2.5%	4.5%	5.2%	5.7%	4.0%	5.1%
Dermatological Beauty sales	2,016	1,777	1,600	1,634	2,086	1,770	1,618	1,731	2,215	2,000	1,812	1,811
Organic revenue growth, %	21.9%	10.8%	0.8%	5.0%	2.7%	3.5%	5.1%	11.5%	10.8%	11.9%	10.3%	3.3%

Source: Company data, Barclays Research estimates

FIGURE 11. Quarterly sales forecasts by geography

Fiscal Period	1Q 24	2Q 24	3Q 24	4Q 24	1Q 25	2Q 25	3Q 25	4Q 25	1Q26	2Q26	3Q26e	4Q26e
L'Oreal Total												
Net Sales	11,245	10,876	10,285	11,081	11,735	10,738	10,334	11,245	12,152	11,624	11,075	12,145
Organic revenue growth, %	9.4%	5.3%	3.5%	2.5%	3.4%	2.4%	4.2%	6.1%	7.6%	6.1%	4.5%	5.8%
Europe												
Net Sales	3,733	3,550	3,417	3,511	3,915	3,620	3,573	3,757	4,365	3,769	3,643	4,083
Organic revenue growth, %	12.6%	9.7%	5.6%	5.2%	4.3%	2.4%	4.1%	6.6%	10.3%	0.8%	1.3%	8.3%
Northern America												
Net Sales	3,015	2,784	3,107	2,900	2,973	2,852	2,972	2,922	3,032	3,035	3,257	2,915
Organic revenue growth, %	12.3%	3.4%	5.2%	1.4%	-3.8%	8.3%	1.4%	8.6%	11.4%	5.9%	7.2%	-1.8%
North Asia												
Net Sales	2,723	2,752	1,956	2,873	2,953	2,440	1,953	2,729	2,687	2,828	2,088	3,128
Organic revenue growth, %	-1.1%	-2.4%	-6.5%	-3.6%	6.9%	-8.8%	4.7%	0.6%	-4.0%	14.5%	2.7%	5.0%
SAPMENA – SSA												
Net Sales	962	923	955	1,024	1,079	979	1,010	1,046	1,210	1,037	1,116	1,143
Organic revenue growth, %	16.4%	14.0%	8.0%	11.4%	10.4%	10.5%	12.2%	10.7%	20.4%	7.0%	13.4%	12.7%
Latin America												
Net Sales	813	868	850	773	816	848	825	791	858	956	972	876
Organic revenue growth, %	16.2%	12.3%	8.6%	7.5%	7.9%	12.4%	4.4%	8.2%	5.1%	3.1%	11.5%	4.7%

Source: Company data, Barclays Research estimates

FIGURE 12. Divisional forecasts

Year to December, EURm	2023	2024	2025	2026E	2027E	2028E
Group sales	41,182	43,487	44,052	46,996	50,289	53,565
Actual revenue growth, %	7.6%	5.6%	1.3%	6.7%	7.0%	6.5%
Organic revenue growth, %- Group	11.0%	5.1%	4.0%	6.0%	5.7%	6.0%
Operating profit	8,143	8,687	8,892	9,532	10,273	11,021
Margin, %	19.8%	20.0%	20.2%	20.3%	20.4%	20.6%
BP change	30	20	21	10	15	15
Professional sales	4,654	4,886	5,163	5,793	6,189	6,592
Organic revenue growth, %	7.6%	5.3%	7.4%	10.4%	6.5%	6.5%
Operating profit	1,005	1,086	1,180	1,330	1,428	1,529
Margin, %	21.6%	22.2%	22.9%	23.0%	23.1%	23.2%
BP change	30	63	63	10	12	12
Consumer sales	15,173	15,982	16,090	16,747	17,557	18,347
Organic revenue growth, %	12.7%	5.5%	3.5%	4.1%	4.5%	4.5%
Operating profit	3,115	3,376	3,443	3,601	3,792	3,981
Margin, %	20.5%	21.1%	21.4%	21.5%	21.6%	21.7%
BP change	74	60	27	10	10	10
Luxury sales	14,924	15,591	15,595	16,618	18,151	19,671
Organic revenue growth, %	4.4%	2.8%	2.8%	5.0%	6.2%	7.0%
Operating profit	3,332	3,470	3,488	3,717	4,092	4,471
Margin, %	22.3%	22.3%	22.4%	22.4%	22.5%	22.7%
BP change	-56	-7	11	0	18	18
Dermatological Beauty sales	6,432	7,027	7,204	7,839	8,392	8,955
Organic revenue growth, %	28.3%	9.8%	5.5%	9.2%	6.7%	6.7%
Operating profit	1,671	1,832	1,882	2,060	2,218	2,380
Margin, %	26.0%	26.1%	26.1%	26.3%	26.4%	26.6%
BP change	55	9	5	15	15	15
Central costs	-979	-1,078	-1,102	-1,175	-1,258	-1,340

Source: Company data, Barclays Research estimates

FIGURE 13. P&L forecasts

Year to December, EURm	2023	2024	2025	2026E	2027E	2028E
Net revenues	41,182	43,487	44,052	46,996	50,289	53,565
COGS	-10,767	-11,227	-11,313	-12,257	-12,965	-13,703
Gross Profit	30,415	32,260	32,739	34,738	37,324	39,862
Gross Margin, %	73.9%	74.2%	74.3%	73.9%	74.2%	74.4%
bps change	150	33	14	-40	30	20
Total SG&A	-22,272	-23,573	-23,847	-25,207	-27,051	-28,841
% of sales	54.1%	54.2%	54.1%	53.6%	53.8%	53.8%
Normalised EBIT	8,143	8,687	8,892	9,532	10,273	11,021
Normalised EBIT margin	19.8%	20.0%	20.2%	20.3%	20.4%	20.6%
bps change	28	20	21	10	15	15
Net financing costs	-65	-225	-198	-237	-282	-233
Other financial income (expense)	-49	-37	-38	-29	-20	-20
Sanofi-Aventis dividends	421	445	352	366	409	436
Normalised pretax	8,451	8,870	9,008	9,632	10,380	11,205
Income tax expense	-1,811	-2,015	-2,363	-2,473	-2,555	-2,755
Exceptional tax	147	60	-176	-124	-24	-24
Normalised tax rate %	23.2%	23.4%	24.3%	24.4%	24.4%	24.4%
Discontinued	0	0	0	0	0	0
Profit after tax	6,191	6,417	6,134	6,998	8,015	8,641
Attributable to: Minority interest	-7	-9	-8	-2	-2	-2
Adjusted Net Income	6,487	6,786	6,807	7,370	7,937	8,562
Basic EPS	11.55	11.95	11.48	13.15	15.11	16.33
Adjusted Diluted EPS (€)	12.08	12.66	12.71	13.81	14.92	16.14
% change	7.3%	4.8%	0.4%	8.6%	8.0%	8.2%
DPS (€)	6.60	7.00	7.20	8.00	8.90	9.70
% chg	10.0%	6.1%	2.9%	11.1%	11.3%	9.0%
Payout ratio	54.5%	55.3%	56.5%	57.7%	59.5%	59.9%

Source: Company data, Barclays Research estimates

FIGURE 14. Cash flow forecasts

Year to December, EURm	2023	2024	2025	2026E	2027E	2028E
Adjusted EBIT	8,143	8,687	8,892	9,532	10,273	11,021
Depreciation & Amortization	1,715	1,855	1,817	1,926	1,922	1,973
Changes in working capital	88	88	327	-185	-274	-267
Share based payments	169	239	248	248	248	248
Operating Cash Flow	9,317	10,254	11,068	11,038	12,021	12,812
Net cash interest	-113	-261	-236	-266	-302	-253
Net cash tax	-1,811	-2,015	-2,363	-2,473	-2,555	-2,755
Sanofi-Aventis dividends	421	445	352	366	409	436
CapEx & intang. Invest.	-1,489	-1,642	-1,495	-1,645	-1,760	-1,875
Free Cash flow	6,325	6,781	7,325	7,020	7,813	8,366
Acquisitions	-2,497	-149	-2,427	-8,000	0	0
Disposals	0	0	2,509	0	0	0
Dividends	-3,426	-3,615	-3,917	-4,024	-4,456	-4,942
Changes in equity	-503	-498	-502	-1,000	-1,000	-1,000
Other	-1,094	-2,525	-558	-600	-600	-600
FX impact	-176	-33	-39	0	0	0
Change in net debt after FX	-1,371	-39	2,392	-6,604	1,757	1,824
Net debt (cash) at start of period	3,033	4,404	4,443	2,051	8,655	6,898
Net debt (cash) at end of period	4,404	4,443	2,051	8,655	6,898	5,074
Net debt / adjusted EBITDA	0.4x	0.4x	0.2x	0.8x	0.6x	0.4x

Source: Company data, Barclays Research estimates

FIGURE 15. Balance sheet forecasts

Year to December, EURm	2023	2024	2025	2026E	2027E	2028E
Inventories	4,482	4,630	4,543	4,922	5,207	5,503
Trade and other receivables	5,093	5,602	5,500	5,868	6,279	6,688
Other current assets	2,271	1,955	2,064	2,064	2,064	2,064
Current tax assets	192	234	226	226	226	226
Cash and cash equivalents	4,288	4,052	9,865	3,261	5,018	6,842
Total Current Assets	16,325	16,474	22,198	16,341	18,794	21,323
Goodwill	13,103	13,382	14,470	14,470	14,470	14,470
Intangibles	4,287	4,595	5,072	13,072	13,072	13,072
Property, plant and equipment	3,868	4,202	4,212	4,163	4,249	4,415
Financial	11,632	14,838	12,867	12,867	12,867	12,867
Investments in equity affiliates	27	126	376	376	376	376
Deferred tax assets	921	973	963	963	963	963
Total Non-current Assets	35,530	39,880	39,623	47,574	47,660	47,826
Total Assets	51,855	56,353	61,821	63,915	66,454	69,149
Short-term Debt	2,092	1,381	2,049	2,049	2,049	2,049
Trade payables, other curr liabs	6,347	6,469	6,728	7,289	7,710	8,149
Total Current Liabilities	14,900	14,636	15,367	15,928	16,349	16,787
Long-term Debt	4,747	5,187	8,070	8,070	8,070	8,070
Provisions	325	301	321	321	321	321
Pensions and similar	562	669	684	684	684	684
Total Non-current Liabilities	7,874	8,579	11,451	11,451	11,451	11,451
Shareholders' Equity	29,074	33,133	34,953	36,484	38,599	40,853
Minority interests	7	5	51	53	55	57
Total Equity	29,082	33,138	35,004	36,537	38,654	40,911
Total Equity and Liabilities	51,855	56,353	61,821	63,915	66,454	69,149

Source: Company data, Barclays Research estimates

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Fever-Tree Drinks PLC (FEVR.L)	Glanbia (GL9.I)	Haleon (HLN.L)
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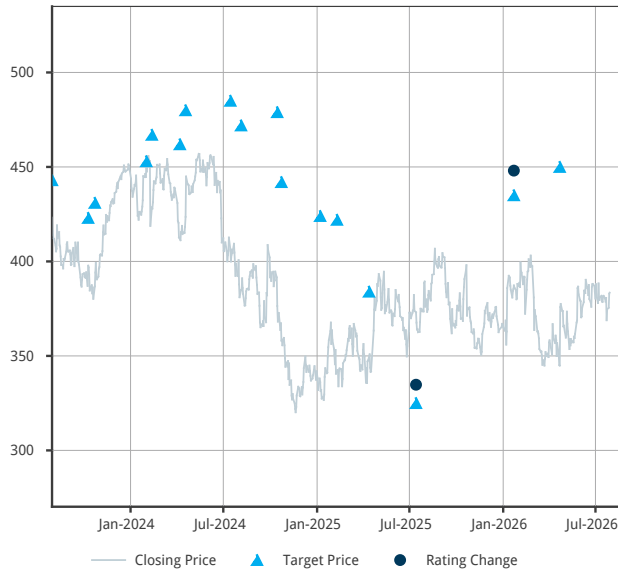
L'Oréal SA (OR FP / OREP.PA)

Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **EUR 394.00** (30-Jul-2026)

Rating and Price Target Chart (as of 30-Jul-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
22-Apr-2026	344.90		450.00	EUR
22-Jan-2026	385.40	Overweight	435.00	EUR
14-Jul-2025	373.85	Underweight	325.00	EUR
13-Apr-2025	347.60		384.00	EUR
09-Feb-2025	340.60		422.00	EUR
07-Jan-2025	338.00		424.00	EUR
23-Oct-2024	367.25		442.00	EUR
15-Oct-2024	376.40		479.00	EUR
05-Aug-2024	384.95		472.00	EUR
15-Jul-2024	406.30		485.00	EUR
18-Apr-2024	423.60		480.00	EUR
07-Apr-2024	412.70		462.00	EUR
12-Feb-2024	418.80		467.00	EUR
01-Feb-2024	444.70		453.00	EUR
23-Oct-2023	380.25		431.00	EUR
10-Oct-2023	387.05		423.00	EUR
31-Jul-2023	420.85		443.00	EUR

On 30-Jul-2023, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 427.00 EUR.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

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Valuation Methodology: Our EUR 460 PT is driven by relative P/E methodology, with a 70% premium to EU Food & HPC weighted average multiple of 19.0x and 100% premium to MSCI EU Staples Index (15.3x) on 2026 PE

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: The main downside risks to our thesis are the following: -- Softer rebound in beauty market growth. -- Execution shortfalls from management in tapping into the right white-space opportunities. -- Lower-than-expected A&P savings.

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European Consumer Staples		
Imogen McCurley	Abhishek Gokhale	Victor Tramier
+44 (0)20 3555 4999	+91 (0)22 6175 1952	+44 (0)20 3555 0275
imogen.mccurley@barclays.com	abhishek.gokhale@barclays.com	victor.tramier@barclays.com
Barclays, UK	Barclays, UK	Barclays, UK



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